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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (HONOURS) REGULAR EXAMINATION MARCH 2026

FOURTH SEMESTER

Core Course (CC) - MG4CCRBBA203 - INDUSTRIAL RELATION

(2024 ADMISSION ONWARDS)

Part - A

Short Answer Questions (four to five sentences)

Each question carries 3 marks

1a. State any three indicators of poor Industrial Relations. [U] / [CO1, CO2, CO3, CO4]

Ans: Indicators of poor industrial relations include:

- Frequent strikes and lockouts, showing conflict between workers and management.
- There may be low productivity and high absenteeism due to lack of motivation.
- Poor communication and increased grievances also reflect unhealthy industrial relations.

OR

1b. Define the Sociological approach to Industrial Relations. [U] / [CO1, CO2, CO3, CO4]

Ans: The sociological approach to industrial relations views it as a social system influenced by society, culture and human relationships. It emphasizes the role of social values, norms and group behaviour in shaping relations between workers and management. This approach highlights that industrial relations are affected by broader social and institutional factors.

2a. How does ASSOCHAM act as a bridge between industry and government? [U] / [CO2]

Ans: ASSOCHAM acts as a bridge by representing the interests of industries to the government. It provides suggestions and feedback on policies, helping in policy formulation and reforms. It also facilitates dialogue and cooperation between industry and government for economic development.

OR

2b. Who elects the members of the Governing Body of the ILO? [K] / [CO2]

Ans: The members of the Governing Body of the ILO are elected by the International Labour Conference. The Conference consists of representatives of governments, employers and workers from member countries. This ensures a tripartite representation in the ILO's governing structure.

3a. Define strike and mention any two types. [K] / [CO3]

Ans: A strike is a temporary stoppage of work by workers to express grievances or to press demands. It is used as a means to force management to address workers' issues. Two types of strikes are general strike and go-slow strike.

OR

3b. Illustrate with a simple example how external economic pressures contribute to the failure of collective bargaining. [A] / [CO3]

Ans: External economic pressures like recession or inflation can weaken collective bargaining. For example, during an economic slowdown, a company facing losses may refuse wage increases demanded by workers. This leads to failure of negotiations as both parties cannot reach a mutually acceptable agreement.

4a. State who appoints the arbitrator in voluntary arbitration? [K] / [CO3]

Ans: In voluntary arbitration, the arbitrator is appointed by mutual agreement between the employer and the employees (or their union). Both parties willingly choose a neutral third party to resolve the dispute. This ensures fairness and acceptance of the decision by both sides.

OR

4b. Differentiate between strike and lockout. [U] / [CO3]

Ans: A strike is a stoppage of work initiated by workers to press their demands, whereas a lockout is a temporary closure of the workplace initiated by the employer. Strike is used by employees as a form of protest, while lockout is used by management to exert pressure on workers. Thus, strike is a labour action, whereas lockout is a management action.

5a. Explain the levels of worker's participation with examples. [U] / [CO4]

Ans: Workers' participation can take place at different levels such as shop-floor level, departmental level, and top management level. At the shop-floor level, workers may participate through suggestion schemes or quality circles, while at the departmental level through committees. At the top level, participation may occur through representation on boards or decision-making bodies.

OR

5b. Discuss the importance of safety measures in industrial establishments. [K] / [CO4]

Ans: Safety measures are important in industrial establishments to prevent accidents and protect workers' health. They help in improving employee morale and productivity by providing a secure working environment. Proper safety practices also reduce legal liabilities and financial losses for the organization. [5×3 = 15]

Part - B

Short Essay Questions

Each question carries 5 marks

6a. Discuss the role of Industrial Relations in industrial peace. [U] / [CO2]

Ans: Industrial Relations (IR) refers to the relationship between employers and employees in an organization.

Role of Industrial Relations in Industrial Peace:

- Promotes Cooperation
- Reduces Conflicts
- Improves Communication
- Enhances Employee Satisfaction
- Prevents Strikes and Lockouts

OR

6b. Explain the objectives of the ILO in promoting social justice. [U] / [CO2]

Ans: The International Labour Organization (ILO) aims to promote social justice and fair labour standards globally.

Objectives of ILO:

- Promote Decent Work
- Protect Workers' Rights
- Encourage Employment Opportunities
- Ensure Social Security
- Promote Equality

7a. Explain the voluntary and flexible nature of collective bargaining. [U] / [CO3]

Ans: Collective bargaining is a process of negotiation between employers and employees (or their unions) to decide wages and working conditions.

Voluntary Nature:

- Participation is not forced by law
- Both parties enter negotiations willingly
- Agreements are based on mutual consent

Flexible Nature:

- Terms and conditions can be modified as per situation
- No rigid rules; depends on needs of parties
- Allows adjustments based on economic and organizational conditions

OR

7b. Explain the meaning of grievances and discuss their importance in industrial relations. [U] / [CO3]

Ans: A grievance is any dissatisfaction or complaint expressed by an employee regarding work conditions, policies or treatment in the organization.

Importance in Industrial Relations:

- Identifies Employee Problems
- Improves Communication
- Prevents Conflicts
- Enhances Employee Satisfaction
- Promotes Industrial Peace

8a. Describe the elements of employer involvement. [K] / [CO1, CO2, CO3, CO4]

Ans: Employer involvement refers to the participation of employers in maintaining effective industrial relations and employee welfare.

Elements of Employer Involvement:

- Communication
- Participation
- Fair Treatment
- Welfare Measures
- Conflict Resolution

OR

8b. State the objectives of Industrial Relations. [U] / [CO1, CO2, CO3, CO4]

Ans: The objectives of industrial relations are as follows:

- Maintain Industrial Peace
- Promote Cooperation
- Increase Productivity
- Protect Workers' Interests
- Ensure Industrial Democracy

[3×5 = 15]

Part - C

Long Essay

Each question carries 20 marks.

9a. Illustrate with examples the meaning of lay-off under the Industrial Disputes Act, 1947. Discuss in detail the causes, types and legal provisions relating to lay-off in industrial establishments. [An] / [CO3]

Ans: Lay-off is an important concept under the Industrial Disputes Act, 1947, referring to the temporary inability of an employer to provide work to employees.

Example: A factory stops work due to shortage of raw materials or power failure, so workers are temporarily not given work → This is lay-off.

Causes of Lay-off:

- Shortage of raw materials
- Breakdown of machinery
- Power failure
- Accumulation of stock
- Natural calamities
- Economic recession

Types of Lay-off:

- Temporary Lay-off – Short-term stoppage of work
- Permanent Lay-off (Closure-related) – When operations stop for a longer period

Legal Provisions under Industrial Disputes Act:

- Applicable to workers whose names are on muster rolls
- Workers must have completed continuous service
- Compensation is payable (usually 50% of basic wages + DA)
- Lay-off should not exceed 45 days without compensation
- Certain industries require prior government permission

OR

9b. Explain the role of Collective Bargaining as a preventive machinery in maintaining industrial peace with suitable examples. [U] / [CO3]

Ans: Collective bargaining is a process of negotiation between employers and employees (or trade unions) to determine wages, working conditions and other employment terms.

Role as Preventive Machinery:

- Prevents Industrial Disputes
- Promotes Mutual Understanding
- Ensures Fair Agreements
- Improves Communication
- Enhances Employee Satisfaction

Examples:

- Wage disputes resolved through collective agreements instead of strikes
- Working conditions improved through negotiations between unions and management

[1×20 = 20]

Part - D

Compulsory Case Study

10a. Sunrise Engineering Ltd. is a medium-sized manufacturing company employing about 600 workers, including permanent and contract employees. Over the past two years, the company increased production targets due to rising demand but failed to revise wages accordingly. Contract workers received lower wages and had no access to welfare benefits. Dissatisfaction among workers led to the formation of two separate trade unions - one affiliated with a national political party and another independent union. Rivalry between the unions weakened collective bargaining efforts. Internal leadership conflicts and political interference further complicated matters. Workers demanded better wages, safer working conditions, and job security through their unions. Due to lack of unity and effective leadership, negotiations with management failed, resulting in an industrial dispute and temporary work stoppage. The labor department intervened and advised the unions to unite and focus on common objectives to resolve the conflict.

Questions:

1. Identify the type(s) of trade unions formed in Sunrise Engineering Ltd.
2. Apply the functions of trade unions to explain how the unions could have effectively represented workers.
3. Analyze the problems of trade unions evident in this case.
4. Apply the objectives of workers' organisations to suggest suitable demands for the workers.
5. Suggest practical measures to improve the effectiveness of trade unions and industrial relations in the company.

1. Ans: Types of Trade Unions

- Politically Affiliated Trade Union – Linked with a national political party
- Independent Trade Union – Not affiliated with any political party

2. Ans: Functions of Trade Unions (Application):

- Represent workers in collective bargaining for better wages and conditions
- Protect workers' rights and ensure fair treatment
- Act as a link between workers and management to resolve disputes
- Promote worker welfare and job security

If properly coordinated, unions could have negotiated effectively and avoided disputes.

3. Ans: Problems of Trade Unions in the Case:

- Multiplicity of unions leading to division
- Inter-union rivalry weakening bargaining power
- Political interference affecting decisions
- Poor leadership and lack of unity
- Ineffective communication with management

4. Ans: Suitable Demands (Objectives of Workers' Organisations):

- Fair and revised wages and benefits
- Equal treatment for contract workers
- Improved safety and working conditions
- Job security for employees
- Access to welfare measures

5. Ans: Measures to Improve Effectiveness:

- Promote unity among unions (single bargaining agent)
- Reduce political interference
- Strengthen leadership and coordination
- Improve communication with management
- Encourage collective bargaining and dialogue [1×20 = 20]

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